

CHOLAFIN Financial Tearsheet

Metric	Value
Sales	19163.00
Net Profit	3420.00
P/E	16.79
P/B	10.36
ROE	17.46%
Debt / Equity	6.86

Pros

- Strong free cash flow generation over 5 years signals healthy business fundamentals.
- Revenue growing above 15% CAGR over 5 years reflects strong business momentum.
- Operating profit margin above 25% indicates strong pricing power and cost discipline.
- Net profit compounding above 20% over five years creates significant shareholder value.
- Very high interest coverage ratio reflects negligible financial stress from debt servicing.

Cons

- Debt-to-equity ratio of 6.86 is elevated and warrants monitoring.
- Debt-to-equity ratio has increased over the last three years, indicating rising financial leverage.
- High financial leverage may reduce future financial flexibility.

Capital Allocation: Growth Funded by Debt